Rating Rationale

Kridhan Infra Limited

29 Nov2019

Brickwork Ratings downgraded the Rating for the Bank Loan facilities of ₹ 30.00 Crore of Kridhan Infra Limited based on best available information, as the issuer did not cooperate. Accordingly the rating for the said instrument is as under.

Particulars

Facility	Amount (₹ Crs)		Tenure	Rating*	
	Previous	Present		Previous (January 2019)	Present
Fund based Cash Credit	18.00	18.00	**Long Term**	**BWR BBB- Stable**	**BWR BB Negative Downgraded Issuer Not Cooperating***
Non Fund Based Letter of Credit - Existing Letter of Credit - Proposed	6.00 6.00	6.00 6.00	**Short Term**	**BWR A3**	**BWR A4+ Downgraded Issuer Not Cooperating***
Total	**30.00**	**30.00**	**Rupees Thirty Crores Only**		

*Please refer to BWR website www.brickworkratings.com/ for definition of the ratings
Issuer did not cooperate; based on best available information
Details of Bank facilities provided in Annexure-I

RATING ACTION / OUTLOOK / NATURE OF NON-COOPERATION

The Long Term rating of the Bank Loan Facilities of the company have been downgraded from BWR BBB- Stable, BWR A3 to BWR BB/ Negative, BWR A4+ under 'Issuer Not Cooperating' category and also due to the huge losses incurred in FY19, huge deterioration in TNW and non achievement of projected figures of FY19 and decline in sales H1FY20, and uncertainty of the business for FY20 because of major revenue contributing company are under debt restructuring in Singapore.

The BWR has recommended the outlook from 'Stable' to 'Negative' on account of uncertainty about the future performance of the company as major revenue contributing Subsidiary and Step down Subsidiary and associate company based in Singapore is under restructuring of debt and sharp fall in the share price of the company.

BWR had initially rated Bank Loan facilities amounting Rs.30.00 Crs (Fund and non fund based) on Jan, 2018 assigning rating of BWR BBB- Stable, BWR A3. BWR took up with the issuer consistently to provide required clarification , information over emails and telephonically dated 7.10.2019, 8.10.2019, 10.10.2019, 11.10.2019, 17.10.2019, 30.10.2019, 04.11.2019, 05.11.2019, 06.11.2019, 21.11.2019 and 26.11.2019. As per the banker feedback conduct of account is satisfactory, there is no over drawing in Cash credit and no development in letter of credit. However , bankers feedback for banks and FI's in Singapore is not received. The company has also not provided the NDS since february 2019. Despite the best efforts of BWR to get at least the minimum required information for a review, the entity has not provided the same. In the absence of adequate information from the firm, BWR is unable to assess the company's financial performance and its ability to service its debt and maintain a valid rating.

Limitations of the rating:

Information availability risk is a key factor in the assessment of credit risk as generally, noncooperation by the rated entities to provide required information for a review of the assigned rating may also be accompanied by financial stress. Users of the credit ratings should therefore take into account the possible deterioration in the credit quality of the rated entity arising from its non- transparency and withholding of information required for a review of the rating.

KEY FINANCIAL INDICATORS (in (₹ Cr) [AS AVAILABLE WITH BWR]

	Units	Standalone		Consolidated	
Particulars		**2019**	**2018**	**2019**	**2018**
Result Type		**Audited**	**Audited**	**Audited**	**Audited**
Operating Revenue	₹ Cr	59.62	88.01	726.75	712.48
EBITDA	₹ Cr	10.06	6.63	72.27	109.51
PAT	₹ Cr	(152.59)	0.84	(267.97)	39.15
Tangible Net Worth	₹ Cr	145.58	300.15	135.80	433.78
Total Debt : TNW	Times	0.12	0.03	1.70	0.59
Current Ratio	Times	1.40	10.25	0.83	1.51

COMPANY PROFILE

M/s. Kridhan Infra Ltd (KIL) was incorporated In 2006. Over the series of acquisitions, KIL has evolved and it provides mechanical splicing (couplers) and threading solutions in India. It is

engaged in the manufacturing of concrete piles & cast-in place, couplers and readymade steel bars and services include bored piling, driven piling; micro piling, soil improvement and soil investigation.

NON-COOPERATION WITH PREVIOUS RATING AGENCY IF ANY: Not available

Rating History

S.No	Facility	Current Rating			Rating History		
		Tenure	Amount (₹ Cr)	Rating^	04-Jan-19	2017	2016
1	**Fund Based**	Long Term	18.00	**BWR BB** Negative [Downgraded] **Issuer Not Cooperating***	**BWR BBB- Stable**	**NA**	**NA**
3	**Non Fund Based**	Short Term	12.00	**BWR A4+** [Downgraded] **Issuer Not Cooperating***	**BWR A3**	**NA**	**NA**
	Total		**30.00**	**Rupees Thirty Crores Only**			

COMPLEXITY LEVELS OF THE INSTRUMENTS

For more information, visit www.brickworkratings.com/download/ComplexityLevels.pdf

Hyperlink/Reference to applicable Criteria

- **General Criteria**
- **Approach to Financial Ratios**
- **What Constitutes Non-Cooperation**

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ANNEXURE I

Kridhan Infra Limited
Details of Bank Facilities rated by BWR

Sl.No.	Name of the Bank	Type of Facilities	Long Term [₹ Cr]	Short Term [₹ Cr]	Total [₹ Cr]
1.	**Union Bank, Bhat bazar**	**Fund based** Cash Credit	18.00		**18.00**
2.	**Union Bank, Bhat Bazar**	**Non Fund based** 1. Existing LC 2. Proposed LC	-	6.00 6.00	**12.00**
TOTAL					**30.00**

Rupees Thirty Crores Only

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